

International Economic Institutions

International Economic Institutions – IMF and World Bank – WTO – Regional Economic Cooperation

PYQs asked from this chapter:

Q1. ASEAN summit venue in April 2017? **Manila** (controversial- Manila is the venue for 2018 but the question asked for 2017. 2017 venue was not mentioned in the question)

Q2. Ease of doing business ranking published by? **World Bank**

Q3. OECD projection for India for 2018-19?

Q4. Report given by UNCTAD? **World Investment Report**

Q5. CAREC established by? **ADB**

Q6. A passage based on WTO- central Asia regional organization was started by which bank- **ADB**.

Q7. Passage on UNCTAD- report published by it

Q8. Trade measures aimed at protecting domestic sector refers to: **Protectionism**

Q9. Institution established in 1945: **IMF**

Paragraph based on RCEP:

Q10. Which of the following organization has been referred in the paragraph: **RCEP**

Q11. The referred deal is a free trade agreement between and their five FTA partners between: **ASEAN**

Q12. Reasons of India to leave the referred deal: **All of the above (Higher Imports from RCEP partners, trade deficit)**

Q13. Which organization has provided USD 300 Mn loan to West Bengal govt: **World Bank**

Q14. World Economic Outlook is being released by: **IMF**

Q15. World Economic Forum annual meeting 2020 will be held at: **Davos, Switzerland**

Q16. OECD's Base Erosion and Profit Shifting (BEPS) framework will be implemented by: **2020**

Q17. The intergovernmental economic organization headquartered at Paris has projected that the Indian economy will bounce back to grow atin 2021-22: **12.6%**

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Q18. Global economic prospects have improved markedly in recent months, helped by:

- **The accommodative monetary policy stance**
- **Fiscal policy support**

Q19. As a policy measure, the major countries have taken following step: **Lower Interest rates**

Q20. The report referred in the paragraph is: **OECD's Economic Outlook**

Q21. In addition, growing global economic interdependence means that the socioeconomic prospects of OECD countries will be ever more tightly linked to that of: **developing and transition countries.**

Q22. Recent at Trade-Related Aspects of Intellectual Property Rights (TRIPS) Council of WTO, the waiver proposed by South Africa and India for: **scaling up research, development, manufacturing, and supply of medical products.**

Paragraph based on India-Australia Economic Cooperation and Trade Agreement

It is a partnership agreement that aims to boost bilateral trade and investment between the two Indo-Pacific countries. Through its phased-in tariff reductions, the agreement will raise challenges for U.S. food and agricultural products in the Indian market. Commodity areas of concern include wines and spirits, cotton, pulses and beans, forest products, and tree nuts (almonds and pistachios). At the same time, India is seeking to establish a number of additional free trade agreements and or comprehensive economic partnership agreements.

Q23. In the above paragraph, which of the following partnership account has been mentioned which India has signed recently?

- (1) India-Australia Economic Cooperation and Trade Agreement**
- (2) India-Russia Economic Cooperation and Trade Agreement
- (3) India-Israel Economic Cooperation and Trade Agreement
- (4) India-France Economic Cooperation and Trade Agreement
- (5) India-UK Economic Cooperation and Trade Agreement

Q24. What is the total number of free trade agreements signed by India till now?

- (1) 15
- (2) 17
- (3) 13**
- (4) 22
- (5) 34

Q25. Consider the following statements:

- (a) It will enhance the economic cooperation between the two countries.
- (b) It is the first trade agreement of India with a developed

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country after more than a decade

(c) Both the countries are part of the Supply Chain Resilience Initiative (SCRI).

(1) Only a and b

(2) Only b and c

(3) Only a and c

(4) Only b

(5) All of the above

Q26. Which of the following is/are applicable when we import or export goods from other countries?

(a) Custom Tariff

(b) Custom and Excise duties

(c) IGST

(1) Only a and b

(2) Only b and c

(3) Only a and c

(4) Only b

(5) All of the above

Paragraph based on IMF-WEO Report:

Q27. Which of the following report has been referred in the paragraph: **IMF-WEO**

Q28. The growth of advance economies will fall from 2.7% to **1.5%**

Q29. Which of the following is a mission of IMF: **All of the above**

Q30. The WEO database and publication are updated and published twice a year, usually in: **April and October. While WEO Update is published in January and July**

Q31. The WTO was established on: **1995**

Q32. The WTO' director general: **Dr. Ngozi Okonjo-Iweala**

Q33. Which of the following served as critical platforms for negotiation, policy discussions, and setting the organization's direction?

Q34. Doha development agenda was held in: **2001**

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BRETTON WOODS CONFERENCE

(United Nations Monetary and Financial Conference):

In July 1944, the representatives of 44 Allied Nations met at the Mount Washington Hotel situated in Bretton Woods, New Hampshire, United States to regulate the international monetary and financial order after the 2nd World War.

During the inter-war period (1st and 2nd World War), the financial system had been chaotic due to the collapse of the gold standard, the Great Depression and the rise of protectionism. It was decided that the conference should do away with the economic evils - the competitive devaluation and destructive impediments to trade which preceded the 2nd World War. Hence, the conference proposed the following:

1. **Creation of an International Trade Organization (ITO)** to establish rules and regulations for international trade.
2. **Creation of International Bank for Reconstruction and Development (IBRD)** to help in the reconstruction of nations devastated by the 2nd World War.
3. **Creation of International Monetary Fund (IMF)** to monitor exchange rates and lend reserve currencies to nations with trade deficits.

The plans for the system of Bretton Woods were developed by two important economists of these days, the American minister of state in the U.S. treasury, Harry Dexter White, and the British economist John Maynard Keynes.

In 1971, the United States unilaterally terminated convertibility of the US dollar to gold, effectively bringing the Bretton Woods system to an end and rendering the dollar a fiat currency.

This action, referred to as the Nixon shock, created the situation in which the US dollar became a reserve currency used by many states. At the same time, many fixed currencies (such as the pound sterling, for example) also became free-floating. The system of Bretton Woods of 1944 with its fixed exchange rates does not exist anymore today.

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THE INTERNATIONAL MONETARY FUND:

191

The IMF is governed by and accountable to 191 countries that make up its near-global membership.

44

The IMF was founded by 44 member countries that sought to build a framework for economic cooperation.

1944

The IMF was established in 1944 in the aftermath of the Great Depression of the 1930s.

1 trillion

The IMF is able to lend about \$1 trillion to its member countries.

The **International Monetary Fund (IMF)** came into force on the **27 December, 1945** with the **main functions** as exchange rate regulation, purchasing short-term foreign currency liabilities of the member nations from around the world, allotting special drawing rights (SDRs) to the member nations and **plays a central role in the management of balance of payments difficulties** and international financial crises.

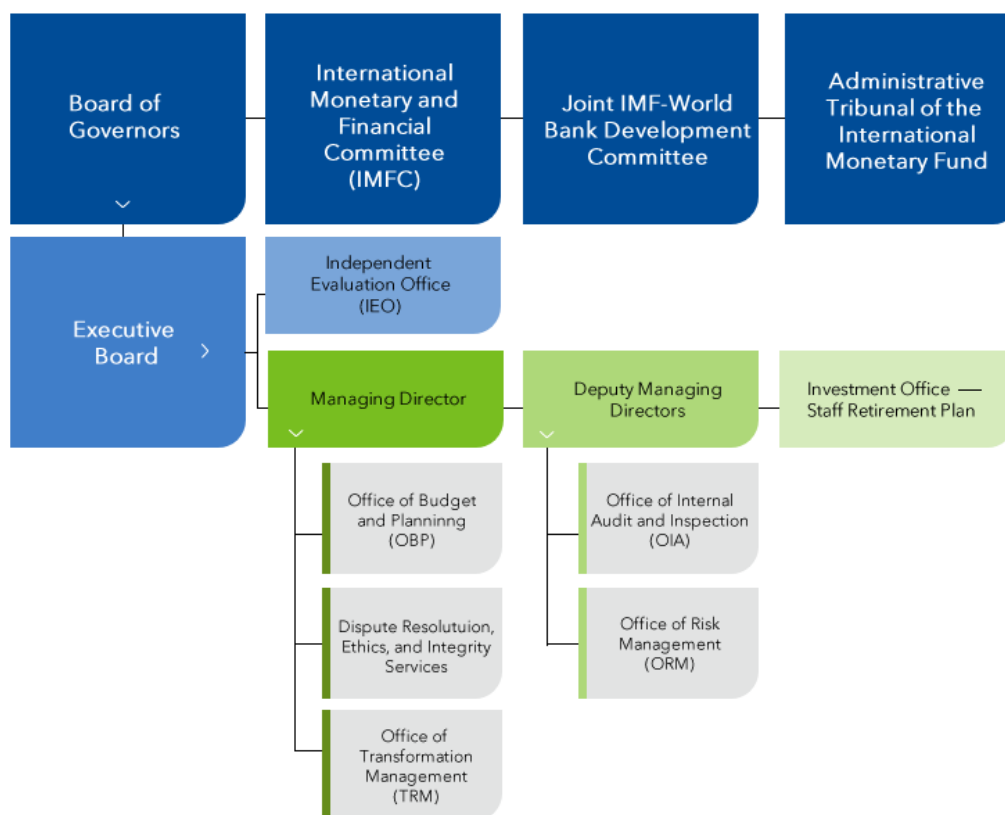
The IMF has Three critical missions:



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MAIN FUNCTIONS OF THE IMF:

- To facilitate **international monetary cooperation**;
- To promote **exchange rate stability and** orderly exchange arrangements;
- To assist in the establishment of a **multilateral system of payments** and the elimination of foreign exchange restrictions; and
- To assist member countries by temporarily providing **financial resources** to **correct mal-adjustment in their balance of payments (BoPs)**.



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- **The Board of Governors of the IMF consists of one Governor and one Alternate Governor from each member country.**

Note: For India, Finance Minister is the Ex-officio Governor while the RBI Governor is the Alternate Governor on the Board.

- The **day-to-day management of the IMF** is carried out by the **Managing Director** who **is Chairman** (currently, **Kristalina Georgieva**) of the Board of Executive Directors.
- **Board of Executive Directors consists of 25 directors** appointed/elected by member countries/group of countries —is the executive body of the IMF.
- First deputy managing director is Gita Gopinath.
- The **Executive Directors** represent all **191 member countries** in a geographically based roster. Countries with large economies (like US, Japan, China, etc.) have their own Executive Director, but most countries are grouped in **constituencies representing four or more countries.**

**Principality of
Liechtenstein Becomes IMF's
191st Member.**

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- Following the 2008 Amendment, eight countries each appoint an Executive Director: the United States, Japan, China, Germany, France, the United Kingdom, Russia, and Saudi Arabia.
- The remaining 16 Directors represent constituencies consisting of 4 to 22 countries.
- **This Board usually meets several times each week. The Board membership and constituency is scheduled for periodic review every eight years.**
- India is represented at the IMF by an Executive Director (**currently Urjit Patel**), who also represents three other countries in India's constituency, viz., Bangladesh, Sri Lanka and Bhutan.

Note: In the context of the International Monetary Fund (IMF), "**India's constituency**" refers to the **group of countries, including India, that are represented by the same Executive Director at the IMF**. Currently, this includes **India, Bangladesh, Sri Lanka, and Bhutan**.

This constituency does not lead to SDR sharing. SDRs are allocated individually to each IMF member country based on their quota.

A constituency only refers to a voting and representation arrangement at the IMF Board.

- **All members of the IMF are also International Bank for Reconstruction and Development (IBRD) members and vice versa.**
- Apart from **Cuba**, the other UN states that do not belong to the IMF are Andorra, Liechtenstein, **Monaco and North Korea**.
- **The International Monetary and Financial Committee (IMFC)** endorsed the guidelines for the dissemination standards and they were split into two tiers:
- **The General Data Dissemination System (GDDS) and the Special Data Dissemination Standard (SDDS)**
- **In India Special Data Dissemination Standard (SDDS) is used.**

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HOW DOES QUOTA WORK IN IMF?

Each IMF member country is assigned a quota, based broadly on its **relative position** in the world economy.

Quota subscriptions are a central component of the IMF's financial resources. A member country's quota determines its maximum financial commitment to the IMF, voting power, and access to IMF financing.

The current quota formula is:

- a **weighted average of GDP** (weight of **50** percent),
- **openness to the global economy** (**30** percent),
- **economic variability** (**15** percent),
- and **international reserves** (**5** percent).

For this purpose, GDP is measured through a blend of GDP based on market exchange rates (weight of 60 percent) and on purchasing-power-parity exchange rates (40 percent). The formula also includes a “compression factor” that reduces the dispersion in calculated quota shares across members.



Each member is obliged to provide financial resources based on its quota:

A member's quota subscription determines the maximum amount of financial resources the member is obliged to provide to the IMF.

A member must pay its subscription in full upon joining the Fund: **up to 25 percent must be paid in SDRs or other members' currencies specified by the IMF**, and the rest is paid in the member's own currency.



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Access to Financing:

The amount of financing a member can obtain from the IMF (known as its access limit) is based on its quota. For example, under certain types of loans, a member can borrow up to:

- The IMF Executive Board concluded the Comprehensive Review of the General Resources Account (GRA) Access Limits. **The decision maintains the overall annual and cumulative GRA access limits at 200 and 600 percent of current quotas, respectively.**

Quotas is then used to determine the following:

- Subscription** (maximum number of financial resources that a member is obligated to provide to the IMF),
- Voting power/rights in IMF decision making,**
- Member country's share of SDR allocations**
- Borrowing capacity** (financial assistance a member may obtain from the IMF)

Special Drawing Rights

Quotas are denominated in Special Drawing Rights (SDRs), the IMF's unit of account.

The IMF's largest member is the United States, with a quota and the smallest member is Tuvalu.

The amount of financing a member can obtain from the IMF is also based on its quota. For example, a member can borrow up to 200 percent of its quota annually and 600 percent cumulatively. However, access may be higher in exceptional circumstances.

At a Glance	
2025 Projected Real GDP (% Change) : 6.5*	Quota (SDR): 13114.4 million
Country Population: 1,454.607 million	Number of Arrangements since membership: 7
Date of Membership: December 27, 1945	
Article IV/Country Report: February 27, 2025	
Special Drawing Rights (SDR): 13704.73 million	
*GDP Data from January 2025 World Economic Outlook Update	

Reserve Tranche Position (RTP): Reserve Tranche Position (RTP): The **primary means of financing the IMF is through members' quotas**. Each member of the IMF is assigned a quota, part of which is payable in SDRs or specified usable currencies ("reserve assets"), and part in the member's own currency. **The difference between a member's quota and the IMF's holdings of its currency is a country's Reserve Tranche Position (RTP).**

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The reserve tranche portion of the quota can be accessed by the member nation anytime at its own discretion (and is not under an immediate obligation to repay those funds to the IMF), **whereas the rest of the member's quota is typically inaccessible.**

Member nation reserve tranche is typically 25% of the members quota and is accounted among the country's foreign exchange reserve.

Foreign Exchange Reserve of a Country = Foreign Currency Assets + Gold + SDR + Reserve Tranche Position (RTP)

The SDR is not a currency. It is a potential claim on the freely usable currencies of IMF members. As such, SDRs can provide a country with liquidity. Currently, the **SDR basket consists of the U.S. dollar, euro, Japanese yen, pound sterling and the Chinese renminbi (RMB).**

1 SDR = 0.4338 US Dollar + 0.2931 Euro + 0.1228 RMB + 0.0759Yen + 0.0744 Pound

Currency	Weights determined in the 2022 review	Fixed number of units of currency for a 5 year period Starting Aug 1, 2022
US dollar	43.38	0.57813
Euro	29.31	0.37379
Chinese Renminbi	12.28	1.0993
Japanese Yen	7.59	13.452
Pound Sterling	7.44	0.080870

- **The IMF allocates SDRs to its members in proportion to their standing in the organization, which is largely based on their share of the global economy.** The first allocation was for a total amount of SDR 9.3 billion, distributed in 1970-72. 660.7 billion SDRs had been created and allocated to members (equivalent to about US\$943 billion).
- **The value of the SDR is determined daily based on market exchange rates**
- **SDRs can be exchanged for freely usable currencies (US dollar, Euro, Yen, Pound, Yuan).** There are **no notes and coins denominated in SDRs** i.e. it is not present in hard currency and is thus called paper gold or notional currency.
- And **SDRs cannot be held by private entities.** But the SDR does play a role as an **interest-bearing** international reserve asset. **The allocation of SDRs boosts its member countries' official reserves.**
- While SDRs cannot be used to purchase goods and services directly, countries can exchange them among themselves. **Once the SDRs have been added to a member**

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country's official reserves, the country can exchange its SDRs for hard currencies, such as US dollars, Yen, Pound, Yuan, Euro through voluntary trading arrangements with other IMF member countries.

- If a member purchases SDRs **and its holdings rise above its allocation, it earns interest on the excess.** Conversely if it sells SDRs and holds fewer SDRs than allocated, **it pays interest on the shortfall.**
- **The basket composition is reviewed every five years by the Executive Board,** or earlier if the IMF finds changed circumstances warrant an earlier review. In the most recent review (concluded in November 2015), the Executive Board decided that, effective October 1, 2016, the **Chinese renminbi met the criteria and was included in the SDR basket**
- **The weights of different currencies in the SDR basket are determined by a formula** involving four factors for a currency.
- These are: (i) **volume of exports** in that currency; (ii) **forex reserve** holdings denominated in that currency; (iii) **foreign exchange turnover** of that currency; and (iv) **sum of international banking liabilities and debt securities** denominated in that currency. **While 50 per cent weightage is given to the value of exports, each of the other three financial indicators gets a weightage of 1/6.**
- **Does the IMF charge interest:** The SDR interest rate or SDRi provides the basis for calculating the interest rate charged and paid to members, including on regular borrowing from the IMF and on SDR holdings. **It is determined weekly based on a weighted average of interest rates on three-month debt in the money markets of the SDR basket currencies.**
- The IMF's Board of Governors approved a general allocation of about SDR 456 billion, equivalent to US\$650 billion, to boost global liquidity. The distribution – the largest SDR allocation in the history of the IMF – helped countries respond to the COVID-19 pandemic. The general allocation of about SDR 161 billion in 2009, equivalent to US\$250 billion, boosted liquidity amid a global financial crisis

India and IMF:

- **India is a founder member of IMF**
- **RBI adopted Special Data Dissemination Standards (SDDS) of IMF**

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- As per our **commitment**, India adopted **current account convertibility** in 1994
- **Methodology of National Income Accounting** was changed (to Market Prices) in 2015
- **IMF's regional training institute** is in Delhi to provide training to government officials
- **India is a net lender to IMF**

Voting Power:

- **Voting power in the IMF is based on a quota system.** Each member has a **number of basic votes** (each member's number of basic votes equals **5.502% of the total votes**), **plus one additional vote for each Special Drawing Right (SDR)** of 100,000 of a member country's quota.
- **The Special Drawing Right** is the **unit of account of the IMF** and represents a claim to currency. It is based on a basket of key international currencies.
- **Any changes in quotas must be approved by an 85 percent majority of the total voting power, and a member's own quota cannot be changed without its consent.**

The current quota formula is a weighted average of **GDP (weight of 50 percent)**, **openness (30 percent)**, **economic variability (15 percent)**, and **international reserves (5 percent)**.

- **For this purpose, GDP is measured through a blend of GDP—based on market exchange rates (weight of 60 percent) and on PPP exchange rates (40 percent). The formula also includes a “compression factor” that reduces the dispersion in calculated quota shares across members.**
- IMF reviews members' quotas **once in every five years**, India consented for its quota increase.
- **India's quota share (together with its 3 constituency countries) has increased to 2.75 per cent** and it has **become the 8th (from 11th) largest quota holding country among** the 24 constituencies. **India's voting share is 2.63%.** "The total SDR holdings of India now stands at SDR 13.66 billion
- **USA has highest quota share and voting share.** While 25 per cent of the quota is to be paid in cash (i.e., in 'Reserve' currency), the balance 75 per cent can be paid in securities.

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REPORTS:

World Economic Outlook: A Survey by the IMF staff usually published twice a year in April and October. It presents IMF staff economists' analyses of global economic developments during the near and medium term.

Global Financial Stability Report: The Global Financial Stability Report (GFSR) is a survey by the IMF staff published twice a year and it provides an assessment of the global financial system and markets, and addresses emerging market financing in a global context. It focuses on current market conditions, highlighting systemic issues that could pose a risk to financial stability and sustained market access by emerging market borrowers.

Fiscal Monitor: Fiscal Monitor was launched in 2009 to survey and analyze the latest public finance developments, update fiscal implications of the crisis and medium-term fiscal projections, and assess policies to put public finances on a sustainable footing. The Fiscal Monitor is prepared twice a year by the IMF's Fiscal Affairs Department. Its projections are based on the same database used for the World Economic Outlook (WEO) and the Global Financial Stability Report (GFSR) and have been prepared by IMF desk economists assuming that announced policies will be implemented.

Regional Economic Outlook: These reports discuss recent economic developments and prospects for countries in various regions. They also address economic policy developments that have affected economic performance in the regions, and discuss key challenges faced by policymakers. They address regional policy developments and challenges, and provide country-specific data and analysis, including through analytical pieces on issues of interest to a particular region.

Finance & Development is the IMF's quarterly magazine, publishing analysis of the international financial system, economic development, and other global economic issues. The print and Web editions are published quarterly in English, Arabic, Chinese, French, Russian, and Spanish by the International Monetary Fund, 700 19th Street, NW, Washington, DC 20431, U.S.A.

External Sector Report analyzes global external developments and provides multilaterally consistent assessments of external positions of the world's largest economies, representing over 90 percent of global GDP. The report includes: (i) an overview chapter that emphasizes multilateral issues, showing how individual economies fit into the global picture and discussing associated risks and policies needed to reduce excess imbalances; (ii) an analytical chapter that covers topics relevant to the analysis of external sector dynamics and adjustment mechanisms; and (iii) a final chapter that provides details of the external assessment of each of the 30 economies considered.

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The External Sector Report, produced annually since 2012, is a key part of the IMF's surveillance.

The Financial Access Survey: The Financial Access Survey, launched in 2009, is a unique **supply-side dataset that enables policymakers to measure and monitor financial inclusion and benchmark progress against peers.** The FAS is based on administrative data collected by central banks or financial regulators from financial institutions and service providers. **The dataset covers 192 economies** spanning the period **2004 to 2023. It contains 121 time series** on financial access and use (such as the number of ATMs and depositors). To facilitate meaningful comparison, the FAS also disseminates 70 indicators that are normalized relative to the size of the adult population, land area, and gross domestic product. FAS 2022 is supported by the IMF's Data for Decisions (D4D) Fund.

Facts:

- **Membership:** 191 countries
- **Headquarters:** Washington, D.C.
- **Executive Board:** 25 Directors each representing a single country or a group of countries
- **Biggest borrowers:** Argentina, Ukraine, Greece, Egypt
- **Biggest contributor:** USA, JAPAN, France
- **The IMF's financial year is May 1 through April 30.**
- **India became a member of IMF on 27.12.1945.**
- **IMF can lend USD 1 Trillion.**
- **IMF lends at zero per cent interest rate to low-income countries.**

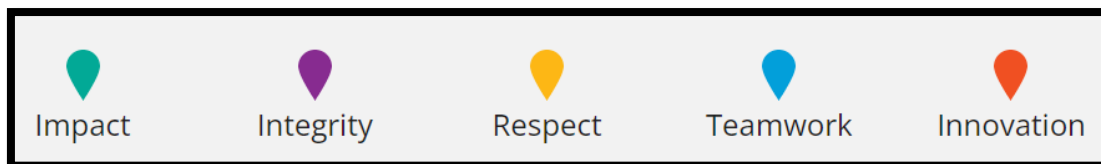
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WORLD BANK: The **World Bank** was created at the **1944 Bretton Woods Conference**, along with three **other institutions**, including the **International Monetary Fund (IMF)**. The World Bank and the IMF are both based in Washington, D.C., and work closely with each other.

Vision: To create a world free of poverty on a livable planet.

Mission: To end extreme poverty and boost prosperity on a livable planet.

Core Values:



The World Bank Group has set two goals for the world to achieve by 2030:

- **End extreme poverty** by decreasing the percentage of people living on less than \$1.90 [**Now \$2.15**] a day to no more than 3%
 - **Promote shared prosperity** by **fostering the income** growth of the **bottom 40% for every country**.
-
- The **World Bank** is a **vital source of financial and technical assistance** to **developing countries** around the world. **It is not a bank in the ordinary sense** but a unique partnership to reduce poverty and support development. The World Bank Group comprises **five institutions** managed by their member countries.
 - Established in 1944, the **World Bank Group** is **headquartered in Washington, D.C.**
 - WB Group provides **low-interest loans, zero to low-interest credits, and grants** to **developing countries**.

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FIVE INSTITUTIONS ONE WORLD BANK GROUP

IBRD

International Bank for Reconstruction and Development

Provides financial products and policy advice to help middle-income and creditworthy low-income countries reduce poverty and respond to regional and global challenges.

IDA

International Development Association

Offers grants and low-interest loans help low-income countries invest in their futures, improve lives, and create safer, more prosperous communities around the world.

IFC

International Finance Corporation

Advances economic development and improves the lives of people by encouraging the growth of the private sector in developing countries.

MIGA

Multilateral Investment Guarantee Agency

Provides political risk insurance (guarantees) for projects in a broad range of sectors in developing member countries, covering all regions of the world.

ICSID

International Centre for Settlement of Investment Disputes

The world's leading institution devoted to international investment dispute settlement.

Note: To become a member of the Bank, under the IBRD Articles of Agreement, a **country must first join the International Monetary Fund (IMF)**. Membership in IDA, IFC and MIGA are conditional on membership in IBRD.

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Voting Power:

- **Member countries are allocated votes at the time of membership and subsequently for additional subscriptions to capital.**
 - **Basic votes:** equally distributed among all members
 - **Share-based votes** determined by the number of shares a country holds in IBRD capital stock.
- **The countries with most voting power are now the United States (15.49%) followed by Japan(7.08%), China (5.91%), India (3.03%).**
- **Auguste Tano Kouamé** is the **World Bank's Country Director for India**
- **Parameswaran Iyer**, an Indian national, serves as the **Executive Director at the World Bank Group** representing Bangladesh, Bhutan, India, Sri Lanka.

Organization:

- The **World Bank is like a cooperative, made up of 189 member countries.** These member countries, or shareholders, are represented by a **Board of Governors**, who are the ultimate policymakers at the World Bank. Generally, the governors are member countries' ministers of finance or ministers of development.
- They meet **once a year at the Annual Meetings of the Boards of Governors of the World Bank Group and the International Monetary Fund.**
- The **governors delegate specific duties to 25 Executive Directors**, who work **on-site at the Bank.** The five largest shareholders appoint an executive director, while other member countries are represented by elected executive directors.
- **World Bank Group President** chairs meetings of the Boards of Directors and is responsible for overall management of the Bank. The President is selected by the Board of Executive Directors **for a five-year, renewable term.**
- **Ajay Banga is the current President of the World Bank Group. He began his five-year term on June 2, 2023.**
- The **Executive Directors make up the Boards of Directors of the World Bank.** They **normally meet at least twice a week to oversee** the Bank's business,

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including approval of loans and guarantees, new policies, the administrative budget, country assistance strategies and borrowing and financial decisions.

The World Bank operates day-to-day under the leadership and direction of the president, management and senior staff, and the vice presidents in charge of Global Practices, Cross-Cutting Solutions Areas, regions, and functions.

President, World Bank Group

Ajay Banga

- The World Bank Group appointed **Anshula Kant of the State Bank of India (SBI) as the Chief Financial Officer (CFO)**.

IBRD: The International Bank for Reconstruction and Development:

- **It is the oldest of the WB institutions which started functioning (1945)** in the area of reconstruction of the war-ravaged regions (World War II) and **later for the development of the middle-income and credit-worthy poorer economies** of the world. **Human development was the main focus of the developmental lending with a very low interest rate**, the areas of focus being agriculture, irrigation, urban development, healthcare, family welfare, dairy development, etc.
- **It commenced lending for India in 1949**. After the process of reforms started in the World Bank in 2010, India was allotted additional shares in IBRD (now holds 56,739 shares accounting to US \$ 6,844.7 million).
- With this **India emerged as the 7th largest shareholder** (up from the 11th position) in **IBRD with voting power of 2.91 per cent** (up from 2.77 per cent). IBRD engages with middle-income countries (MICs) both as clients and shareholders.
- **IBRD raises most of its funds in the world's financial markets**. This has allowed it to provide more than \$500 billion in loans to alleviate poverty around the world since 1946, with its shareholder governments paying in about \$14 billion in capital. **IBRD has maintained a triple-A rating since 1959. This high credit rating allows it to borrow at low cost and offer middle-income developing countries access to capital on favorable terms — helping** ensure that development projects go forward in a more sustainable manner, while often complementing or catalyzing private financing. IBRD earns income every year from the return on its equity and from the small margin it makes on lending. This pays for World Bank operating expenses, goes into reserves to strengthen the balance sheet, and provides an annual transfer of funds to IDA, the fund for the poorest countries.

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IDA: The International Development Agency (IDA):

- It is also known as the **soft window of the WB** was set up in 1960 with **the basic aim of developing infrastructural support** among the member nations, long-term lending for the development of economic services. Its loans, known as credits are extended mainly to economies with less than \$895 per capita income. **The International Development Association (IDA) is the part of the World Bank that helps the world's poorest countries.** Overseen by 173 shareholder nations, IDA aims to reduce poverty by providing loans (called “credits”) and grants for programs that boost economic growth, reduce inequalities, and improve people's living conditions.
- **IDA complements the World Bank's original lending arm—the International Bank for Reconstruction and Development (IBRD).** IBRD was established to function as a self-sustaining business and provides loans and advice to middle-income and credit-worthy poor countries. IBRD and IDA share the same staff and headquarters and evaluate projects with the same rigorous standards.
- **IDA is one of the largest sources of assistance** for the world's 75 poorest countries, 39 of which are in Africa, and is the single largest source of donor funds for basic social services in these countries. **IDA lends money on concessional terms. This means that IDA credits have a zero or very low interest charge and repayments are stretched over 25 to 40 years,** including a 5- to 10-year grace period. IDA also provides grants to countries at risk of debt distress.
- **In addition to concessional loans and grants,** IDA provides significant levels of debt relief through the Heavily Indebted Poor Countries (HIPC) Initiative and the Multilateral Debt Relief Initiative (MDRI).
- **IDA is a multi-issue institution, supporting** a range of development activities, such as primary education, basic health services, clean water and sanitation, agriculture, business climate improvements, infrastructure, and institutional reforms.

IFC: The International Finance Corporation (IFC):

- It was set **up in 1956** which is also known as the **private arm of the WB.** It lends **money to private sector companies of its member nations.** The interest rate **charged is commercial but comparatively low.** There are many attractive features of IFC's lending. It finances and provides advice for private-public ventures and projects in partnership with private investors and, through its advisory work, helps governments of the member nations to create conditions that stimulate the flow of both domestic and foreign private savings and investment.

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- IFC is also a **leading mobilizer of third-party resources for its projects**. Our willingness to engage in difficult environments and our leadership in crowding-in private finance enable us to extend our footprint and have a development impact well beyond our direct resources.
- Since first being rated in 1989, IFC has **been rated triple-A** every year by Standard and Poor's and by Moody's.
- **IFC issues bonds in a variety of markets and formats**, including U.S. dollar benchmarks bonds, themed bonds that support a specific program such as green bonds; uridashi notes; private placements; and discount notes. **In addition, IFC issues local-currency bonds to develop domestic capital markets and facilitate local-currency lending.**

MIGA: The Multilateral Investment Guarantee Agency (MIGA):

It was set up in 1988 **encourages foreign investment in developing economies** by **offering insurance (guarantees) to foreign private investors against loss caused by non-commercial (i.e., political) risks**, such as currency transfer, expropriation, war and civil disturbance.

It also provides **technical assistance to help countries disseminate information on investment opportunities**. MIGA provide political risk insurance guarantees to private sector investors and lenders. MIGA's guarantees protect investments against non-commercial risks and can help investors obtain access to funding sources with improved financial terms and conditions.

MIGA's current strategy for fiscal years 2024–2026 focuses on deepening its commitment in several critical areas:

- ❖ **Increasing Engagement in IDA and Fragile and Conflict-Affected Situations (FCS) Countries:** MIGA aims to enhance its support for projects in the world's poorest and most vulnerable regions, building upon its previous focus on IDA countries and FCS.
- ❖ **Strengthening Support for Climate Change Mitigation and Adaptation:** Starting July 1, 2023, MIGA committed to aligning 85% of its new projects with the objectives of the Paris Agreement, with a goal to achieve 100% alignment by July 1, 2025. This underscores MIGA's expanded commitment to climate change mitigation and adaptation.
- ❖ **Accelerating Gender Equality:** In June 2024, MIGA, along with IFC and the World Bank, launched the WBG Gender Strategy 2024–2030. This strategy aims to accelerate gender equality through concerted action, financing, and programs at scale, focusing on foundational well-being, economic participation, and leadership.

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As a multilateral development agency, MIGA **only supports investments that are developmentally sound and meet high social and environmental standards**. MIGA applies a comprehensive set of social and environmental performance standards to all projects and offers extensive expertise in working with investors to ensure compliance to these standards.

ICSID: ICSID is the world's leading institution devoted to international investment dispute settlement:

- It has **extensive experience in this field, having administered the majority of all international investment cases**.
- States have agreed on ICSID as a **forum for investor-State dispute settlement** in most international investment treaties and in numerous investment laws and contracts.

India is not a member of the ICSID

- ICSID **was established in 1966 by the Convention on the Settlement of Investment Disputes between States and Nationals of Other States** (the ICSID Convention).
- The ICSID Convention is a multilateral treaty formulated by the Executive Directors of the World Bank to further the Bank's objective of promoting international investment. ICSID is an independent, depoliticized and effective dispute-settlement institution. Its availability to investors and States helps to promote international investment by providing confidence in the dispute resolution process. **It is also available for state-state disputes under investment treaties and free trade agreements, and as an administrative registry. India is not its member.**

Reports:

World Development Report: The **World Development Report (WDR)** is an **annual report** published since **1978** by the **International Bank for Reconstruction and Development (IBRD)** or World Bank. Each WDR provides in-depth analysis of a specific aspect of economic development.

Global Economic Prospects: **Global Economic Prospects** is a World Bank Group flagship report that **examines global economic developments** and prospects, with a **special focus on emerging market and developing economies**. It is issued twice a

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year, in January and June. The January edition **includes in-depth analyses** of topical policy challenges while the **June edition contains shorter** analytical pieces.

According to the World Bank's Global Economic Prospects report released in January 2025, India's economy is projected **to grow at 6.7% in** both FY2025/26 and FY2026/27, maintaining its position as the world's fastest-growing major economy.

Commodity Markets Outlook: The **World Bank's Commodity Markets Outlook** provides detailed market analysis for major commodity groups, including energy, metals, agriculture, precious metals, and fertilizers. **The report includes price forecasts to 2030 for more than 45 commodities.** It also provides historical price data and supply, demand, and trade balances for most commodities. Commodity Markets Outlook is released quarterly.

Ease of doing business: **Doing Business is an annual publication** of World Bank that provides objective measures of business regulations and their enforcement across 190 economies. It **looks at domestic small and medium-size companies and measures the regulations applying to them through their life cycle.**

Doing Business started from two developments in economic growth which happened simultaneously in the late 1980s and early 1990s, said Simeon Djankov, the creator of the Doing Business series and former Deputy Prime Minister and Minister of Finance of Bulgaria.

The ease of doing business ranking compares economies with one another; the distance to frontier score benchmarks economies with respect to regulatory best practice, showing the absolute distance to the best performance on each Doing Business indicator.

Ease of Doing Business indicators:

1. **Starting a business**
2. **Dealing with construction permits**
3. **Getting electricity**
4. **Registering property**
5. **Getting credit**
6. **Protecting minority investors**
7. **Paying taxes**
8. **Trading across borders**
9. **Enforcing contracts**
10. **Resolving insolvency**

Global Investment Competitiveness Report:

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Co-authored by the World Bank Group's International Finance Corporation (IFC) and the Trade & Competitiveness Global Practice (T&C), the report considers developing countries as both sources and recipients of FDI. The analysis examines the ability of developing countries not only to attract private investment but to retain and leverage it for inclusive and sustainable growth.

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WORLD TRADE ORGANISATION (WTO) AND INDIA

The **World Trade Organization (WTO)** is an international organization that deals with global trade rules. **Its main purpose is to ensure that trade flows as smoothly, predictably, and freely as possible between countries.**



The **WTO was established in 1995** and is composed of **166** member countries. Its mission **is to promote and facilitate international trade** by providing a platform for negotiations, resolving trade disputes, and monitoring the implementation of trade agreements.

The most recent country to join the WTO is Timor-Leste, which became the 166th member on August 30, 2024.

- **India is among the founding members of WTO.**
- WTO is located in **Geneva, Switzerland**. **Dr. Ngozi Okonjo-Iweala from Nigeria is current Director-General of WTO.**

WTO: THE EVOLUTION:

- **Formation:** The roots of the WTO can be traced back to the **General Agreement on Tariffs and Trade (GATT)**, which was established in 1947. The GATT aimed to **promote international trade and reduce barriers** by negotiating trade agreements. It operated as a provisional organization until the establishment of the WTO.
- **Uruguay Round:** The **most significant development in the history of the WTO** was the **Uruguay Round of negotiations**, which took place from 1986 to 1994. This round resulted in **the creation of the WTO** and a comprehensive set of trade agreements. **It expanded the scope of the GATT to include services, intellectual property, and agriculture, among other areas.**

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CREATION OF THE WTO: MARRAKESH AGREEMENT:

The **Marrakesh Agreement (Morocco)** refers to the **agreement that established the World Trade Organization (WTO)**.

THE KEY COMPONENTS OF THE MARRAKESH AGREEMENT INCLUDE:

- **Establishing the World Trade Organization:** This agreement **forms the legal basis** for the WTO. It outlines the **objectives, functions, and structure** of the organization. It also establishes the **main bodies of the WTO**, including the Ministerial Conference, the General Council, and specialized committees.
- **The Multilateral Trade Agreements:** The Marrakesh Agreement **incorporates the results of the Uruguay Round negotiations**, which led to **the creation of numerous trade agreements**. These agreements cover a wide range of areas, including
 - **Goods** (General Agreement on Tariffs and Trade, GATT)
 - **Services** (General Agreement on Trade in Services, GATS)
 - **Intellectual Property** (Agreement on Trade-Related Aspects of Intellectual Property Rights, TRIPS) and
 - **Dispute Settlement** (Understanding on Rules and Procedures Governing the Settlement of Disputes)
- **Plurilateral Trade Agreements:** The Marrakesh Agreement also **allows for the formation of Plurilateral trade agreements**. These are agreements that **are not signed by all WTO members but are open to participation** by any interested member. Examples of Plurilateral agreements include the Agreement on Government Procurement (GPA) and the Information Technology Agreement (ITA).
- **Trade Policy Reviews:** The Marrakesh Agreement **mandates regular reviews of members' trade policies and practices**. Each member's trade policies are subject to scrutiny to ensure transparency and encourage compliance with WTO rules.
- **Dispute Settlement System:** The Agreement established a **dispute resolution system**. Over the years, the system has **helped enforce trade rules and maintain a level playing field**.

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- **Two New Members** have been added recently – Comoros and Timor-Leste, increasing the membership to 166.
- **Ministerial Conferences:** The WTO holds Ministerial Conferences **every two years, bringing together member countries' trade ministers to discuss** and make decisions on **various trade-related matters**. These conferences have served as critical platforms for negotiation, policy discussions, and setting the organization's direction.

REPORTS ISSUED BY WTO:

- **World Trade Report:** The World Trade Report is an **annual publication** that aims to deepen understanding about **trends in trade, trade policy issues** and the multilateral trading system.
- **World Trade Statistical Review** provides a **detailed analysis** of the **latest developments in world trade**, featuring key **data on global trade in merchandise and commercial services**. It will be **produced on an annual basis** and **replaces International Trade Statistics**, the WTO's former annual statistical publication.
- **Global Trade Outlook and Statistics:** The WTO's "Global Trade Outlook and Statistics" analyses **recent global trade developments** and **presents the organization's forecasts for merchandise trade volume**. Breakdowns of merchandise and commercial services trade by sector and region are provided, together with details on leading traders. **The report is issued twice a year**. The **main forecast is issued in April** while the update is published in October.
- **WTO Annual Report:** Providing a comprehensive account of the organization's activities.

WTO: PRINCIPLES

Most-Favored-Nation (MFN): The MFN principle requires that any trade advantage, such as lowered tariffs or preferential treatment, granted by a member country to another member country must be extended to all other WTO members. This principle promotes **non-discrimination** and **ensures** that countries do not discriminate against specific trading partners.

- **Some exceptions are allowed.** For example, **countries can set up a free trade agreement** that applies only to goods traded within the group — discriminating against goods from outside. Or they **can give developing countries special access** to their markets. **Or a country can raise**

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barriers against products that are considered to be **traded unfairly** from specific countries.

- **And in services, countries are allowed, in limited circumstances, to discriminate.** But the agreements only permit these exceptions under strict conditions. In general, MFN means that every time a country lowers a trade barrier or opens up a market, it has to do so for the same goods or services from all its trading partners — whether rich or poor, weak or strong.

National Treatment: The national treatment principle requires that **imported and domestically produced goods be treated equally** once **they enter a country's market**. It prohibits discrimination between imported and domestic products, ensuring that foreign goods are not subject to unfair treatment or disadvantageous regulations.

- **National treatment only applies once a product**, service or item of intellectual property **has entered the market**. Therefore, charging customs duty on an import is not a violation of national treatment even if locally-produced products are not charged an equivalent tax.

Reciprocity: Reciprocity is a principle of mutual concessions in trade negotiations. It **implies that countries agree to lower trade barriers and provide market access to other countries in exchange for similar concessions**. The principle of reciprocity helps to create a balance of benefits and ensure that negotiations result in mutually advantageous outcomes.

Transparency: The **WTO emphasizes transparency in trade policies and practices. Members are expected to notify the WTO of their trade measures**, such as tariffs, regulations, and subsidies, to ensure that trade policies are clear and predictable. Transparency helps prevent unfair trade practices and allows for effective monitoring and evaluation.

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Predictability and Stability: The **WTO** aims to provide a predictable and stable trade environment. By establishing a rules-based system and enforcing trade agreements, the WTO helps reduce uncertainty and risks associated with international trade. **This stability promotes confidence, encourages investment, and facilitates economic growth.**

Special and Differential Treatment: The WTO recognizes the need for special provisions to support developing countries and least-developed countries (LDCs). Special and differential treatment (SDT) provisions allow these countries to **undertake trade-related measures**, such as **longer transition periods** or **exemptions**, to address their specific development needs and challenges.

FOLLOWING ARE THE WTO COMPLIANT MEASURES FOR PROTECTION OF THE DOMESTIC INDUSTRY IN INDIA :

- **Anti-Dumping Duty:** Dumping is said to occur when the goods are exported by a country to another country at a price lower than its domestic market price (price of the product in the exporting country's market).
- This is an unfair trade practice which can have a distortive effect on international trade. Anti-dumping is a measure to rectify the situation arising out of the dumping of goods and its trade distortive effect. Thus, **the purpose of anti-dumping duty is to rectify the trade distortive effect of dumping and re-establish fair trade.** The use of anti-dumping measure as an instrument of fair competition is permitted by the WTO. In fact, **anti-dumping is an instrument for ensuring fair trade and is not a measure of protection per se for the domestic industry.** It provides relief to the domestic industry against the injury caused by dumping and is exporter specific and country specific.
- **Countervailing Duty:** It is also known as **anti-subsidy duty** When a government **gives export subsidy** then **such subsidies are actionable by way of levying Countervailing Duty.** They are levied to neutralize the negative impact of subsidies.



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- **Safeguard Duty:** are applied when there is a surge in imports of a particular product. Safeguard duty is a WTO compliant temporary measure that is brought in for a certain time frame to avert any damage to a country's domestic industry from cheap imports.

WTO: MAJOR AGREEMENTS:

GATT: The **General Agreement on Tariffs and Trade (GATT)** is a **multilateral agreement** that **governs international trade in goods**.

It was signed in 1947 by 23 countries in Geneva and came into force in 1948. The GATT was the first multilateral agreement to set rules for international trade. It has been amended and expanded several times since its creation, most notably in the Uruguay Round of negotiations, which ended in 1994.

The GATT's main goal is to promote free trade by reducing or eliminating tariffs and other trade barriers. It also provides rules for resolving trade disputes between countries. The GATT is administered by the World Trade Organization (WTO), which was established in 1995.

KEY PROVISIONS OF THE GATT:

- **Most-favoured-nation treatment:** This means that all GATT members must treat each other's goods equally, regardless of where they come from.
- **National treatment:** This means that GATT members must treat imported goods the same as domestically produced goods.
- **Tariffs:** GATT members are allowed to impose tariffs on imported goods, but these tariffs must be bound, which means that they cannot be raised above a certain level.
- **Quantitative restrictions:** GATT members are prohibited from imposing quantitative restrictions on imported goods, such as quotas and embargoes.
- **Subsidies:** GATT members are allowed to subsidize their industries, but these subsidies must not be used to distort trade.

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- **Dispute settlement:** The GATT provides a mechanism for resolving trade disputes between countries.

AGREEMENT ON AGRICULTURE (AOA):

The Agreement on Agriculture (AoA) is an international treaty of the World Trade Organization (WTO). It was negotiated during the Uruguay Round of the General Agreement on Tariffs and Trade (GATT), and entered into force with the establishment of the WTO on January 1, 1995.

The AoA aims to establish a fair and market-oriented agricultural trading system. It requires countries to:

- Reduce trade barriers, such as tariffs and quotas.
- Reduce subsidies that distort trade.
- Provide greater market access for developing countries.

The AoA has been credited with helping to reduce agricultural subsidies and trade barriers. It has also been credited with increasing market access for developing countries.

Key provisions of the AoA:

- **Market access:** Countries must reduce tariffs and quotas on agricultural imports.
- **Domestic support:** Countries must reduce subsidies that distort trade, such as subsidies that support production or exports. It is classified in three boxes:
 - **Green box:** These are domestic support measures that have no, or minimal, trade-distorting effects. They are generally allowed without any restrictions.

Examples

1. Agricultural research
2. Farmer training programs
3. Environmental protection schemes
4. Crop insurance
5. Disaster relief

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- **Amber box:** These are **domestic support measures** that have **trade-distorting effects**. They are **subject to reduction commitments**.

Examples

1. **Price support programs**
2. **Minimum Support Price (MSP)**
3. **Subsidies linked to production levels**

Example

If the government promises farmers ₹2500 per quintal for wheat (MSP) even if the market price is ₹2000.

Farmers will produce more wheat than normal, which distorts global trade.

- **Blue box:** These are **domestic support measures** that are **tied to production-limiting programs**. They are subject to certain restrictions, but are generally allowed without any reduction commitments.
- **Export competition:** Countries **must reduce subsidies** that support exports.
- **Developing countries:** **Developing countries are given more flexibility** to implement the AoA's provisions.

In WTO terminology, **subsidies in general are identified by “boxes”** which are given the colours of traffic lights: **green (permitted), amber (slow down — i.e. need to be reduced), red (forbidden)**. The Agriculture Agreement **has no red box**, although domestic support exceeding the reduction commitment levels in the amber box is prohibited; and there is a blue box for subsidies that are tied to programmes that limit production. **There are also exemptions for developing countries** (sometimes called an **“S&D box”** or **“development box”**).

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Amber box: defined in Article 6 of the Agriculture Agreement .



Nearly all domestic support measures considered to distort production and trade (with some exceptions) fall into the amber box, which is defined in Article 6 of the Agriculture Agreement as all domestic supports except those in the blue and green boxes. **These include measures to support prices, or subsidies directly related to production quantities. E.g., MSP, input subsidy, electricity subsidies.**

Amber Box subsidies are subject to reduction commitments under WTO agreements. Countries must limit their total amber box support to a certain percentage of their agricultural production value. **This threshold is generally 5% of the value of agricultural production for developed countries, 10% for most developing countries** — although some WTO members agreed to a different level when they negotiated to join the WTO. Furthermore, **32 WTO members with larger subsidies than the de minimis levels at the beginning of the post-Uruguay Round reform period committed to reducing these support levels.**

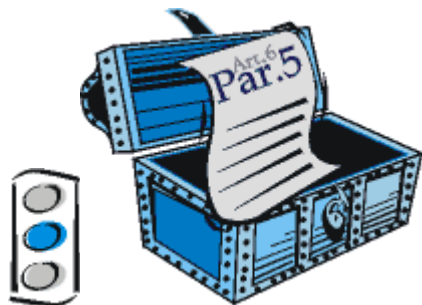
Amber Box: who can use it?

Thirty-two **WTO members have commitments to reduce their trade-distorting domestic supports in the Amber Box** (i.e. to reduce the “total aggregate measurement of support” or AMS).

Argentina	Jordan	South Africa
Australia	Korea	Switzerland-
Brazil	Mexico	Liechtenstein
Canada	Moldova	Chinese Taipei
Colombia	Montenegro	Tajikistan
Costa Rica	Morocco	Thailand
European Union	New Zealand	Tunisia
FYR of Macedonia	Norway	Ukraine
Iceland	Papua New Guinea	United States
Israel	Russian Federation	Venezuela
Japan	Saudi Arabia	Viet Nam

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Blue box: Article 6 of the Agriculture Agreement.



This is the “amber box with conditions” — **conditions designed to reduce distortion. Any support that would normally be in the amber box, is placed in the blue box if the support also requires farmers to limit production.**

Or,

The **Blue Box** in WTO terminology refers to subsidies that would typically fall under the **Amber Box** (trade-distorting) but **are exempt from reduction commitments if tied to production-limiting conditions**. These subsidies aim to reduce distortion by restricting output.

At present there **are no limits on spending on blue box subsidies**.

Example: Land Set-Aside Payments: EU’s Common Agricultural Policy (CAP) historically provided subsidies to farmers who reduced crop areas to prevent overproduction.

Green box: Annex 2 of the Agriculture Agreement.



The green box is defined in Annex 2 of the Agriculture Agreement.

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In order to **qualify, green box subsidies must not distort trade, or at most cause minimal distortion**. They **have to be government-funded** (not by charging consumers higher prices) and **must not involve price support**.

They tend to **be programmes that are not targeted at particular products, and include direct income supports for farmers that are not related to (are “decoupled” from) current production levels or prices**. They also include environmental protection and regional development programmes. **“Green box” subsidies are therefore allowed without limits**, provided they comply with the policy-specific criteria set out in Annex 2.

Examples: R & D related funding given by the government, Compensation for farmers affected by natural disasters or market failures, Public Distribution System (PDS) in India provides subsidized food grains, etc.

Development Box:

Article 6.2 of the Agriculture Agreement allows **developing countries additional flexibilities in providing domestic support**. The type of support that fits into the developmental category are **measures of assistance, whether direct or indirect, designed to encourage agricultural and rural development** and that are an integral part of the development programmes of developing countries.

They include investment subsidies which are **generally available to agriculture in developing country members, agricultural input subsidies generally available to low-income or resource-poor producers in developing country members**, and domestic support to producers in developing country members to encourage diversification from growing illicit narcotic crops.

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SANITARY AND PHYTOSANITARY MEASURES (SPS AGREEMENT):

- The Agreement on the Application of **Sanitary and Phytosanitary Measures (SPS Agreement)** is **an international treaty of the World Trade Organization (WTO)**. It was adopted in **1994** and **entered into force in 1995**.
- The SPS Agreement sets out rules for the **application of sanitary and phytosanitary (SPS) measures**, which are measures taken **to protect human, animal, or plant life or health from risks arising from the entry, introduction, or spread of pests, diseases, or contaminants**.

The SPS Agreement aims to **strike a balance between the right of countries to protect their health and the need to avoid unjustified barriers to trade**. It does this by requiring countries to:

- **Base their SPS measures on scientific principles.**
- **Apply their SPS measures only to the extent necessary to protect human, animal, or plant life or health.**
- **Not discriminate between countries where identical or similar conditions prevail.**
- **Not use SPS measures as a disguised restriction on international trade.**

The SPS Agreement has been used to resolve a number of disputes between WTO members. It has also been credited with helping to reduce the use of SPS measures as barriers to trade.

Key provisions of the SPS Agreement:

- **Scientific justification:** SPS measures must be based on scientific principles and **must be applied only to the extent necessary** to protect human, animal, or plant life or health.
- **Equivalence:** Countries are **allowed to accept SPS measures from other countries** that are **equivalent to their own SPS measures**, even if they are not identical.
- **Transparency:** Countries must **notify the WTO of their SPS measures** and must allow other countries to inspect their SPS systems. **Countries can challenge SPS measures**
- **Dispute settlement:** that they believe are inconsistent with the SPS Agreement.

The SPS Agreement is an important part of the WTO's rules governing trade in goods. It helps to ensure that countries can take measures to protect their health without unduly restricting trade.

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Example: India's Import Restrictions on Agricultural Products: In response to an outbreak of a plant disease, India invoked SPS measures to restrict the import of certain agricultural products from specific countries.

Australia's Ban on Certain Fish Imports: In 2024, Australia implemented SPS measures to ban the import of specific fish species from certain countries due to concerns about potential contamination with diseases harmful to local marine life. This action was taken to protect Australia's unique aquatic ecosystems and was justified under the SPS Agreement.

THE AGREEMENT ON TECHNICAL BARRIERS TO TRADE (TBT AGREEMENT):

It is an international treaty of the World Trade Organization (WTO). It was adopted in 1994 and entered **into force in 1995**. The TBT Agreement sets **out rules for the development, adoption, and application of technical regulations, standards, and conformity assessment procedures**.

The TBT Agreement **aims to strike a balance between the right of countries to protect their consumers, the environment, and public health and the need to avoid unjustified barriers to trade**. It does this by requiring countries to:

- **Base their technical regulations, standards, and conformity assessment procedures on international standards, where they exist.**
- **Apply their technical regulations, standards, and conformity assessment procedures only to the extent necessary to achieve their legitimate objectives.**
- **Not discriminate between countries where identical or similar conditions prevail.**
- **Not use technical regulations, standards, and conformity assessment procedures as a disguised restriction on international trade.**

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The TBT Agreement has been used to resolve a number of disputes between WTO members. It has also been credited with helping to reduce the use of technical barriers to trade as barriers to trade.

India's Mandatory BIS Certification for Electronics:

India implemented mandatory Bureau of Indian Standards (BIS) certification for **certain electronic products, including mobile phones** and consumer electronics. This measure was aimed at ensuring product safety and quality for consumers. However, **some countries raised concerns at the WTO TBT Committee**, arguing that the certification requirements could act as trade barriers if they were overly stringent or lacked transparency. **India defended the measure as necessary** for consumer protection and aligned with the TBT Agreement's principles of legitimate regulatory autonomy.

European Union's Eco-Design Regulations:

The EU **adopted eco-design regulations mandating energy efficiency standards** for household appliances like refrigerators and washing machines. These regulations aim to reduce environmental impact and promote sustainable consumption.

US Labelling Requirements for Food Products:

The United States introduced new labelling requirements for genetically modified organisms (GMOs) in food products. These regulations require clear disclosure of GMO content on packaging to inform consumers

GATS

The General Agreement on Trade in Services (GATS) is a multilateral agreement that was negotiated during the Uruguay Round of trade negotiations and signed in 1994. It entered into force in 1995 and is administered by the World Trade Organization (WTO). The GATS is the first multilateral agreement to establish rules for international trade in services.

The GATS **covers all services except those supplied in the exercise of governmental authority**. It defines four modes of supply of services:

- **Cross-border supply:** This occurs when a service is supplied from the territory of one country to the territory of another country.

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- **Consumption abroad:** This occurs when a **service is supplied in the territory of one country to a consumer of another country.**
- **Commercial presence:** This occurs when a **service supplier of one country establishes a commercial presence** in the territory of another country.
- **Presence of natural persons:** This occurs when a **service supplier of one country moves to the territory of another country** to supply a service.

The GATS sets out four main principles:

- **Most-favoured-nation treatment:** This means that **each WTO member must treat services and service suppliers of all other WTO members no less favourably** than it treats services and service suppliers of any other country.
- **National treatment:** This means that each WTO member must treat services and service suppliers of all other WTO members no less favorably than it treats its own services and service suppliers.
- **Transparency:** This means that each WTO member must publish all laws, regulations, and other measures affecting trade in services.
- **Economic development:** This means that each WTO member must take into account the needs of developing countries when applying the GATS.

The GATS has been successful in promoting trade in services. It has helped to reduce barriers to trade in services and has led to increased investment in services. The GATS has also helped to promote economic growth and development in developing countries.

Examples:

India-UAE BIT (2024): Provides safeguards for foreign portfolio investors and includes "entity-based protection," ensuring UAE service providers (e.g., fintech firms) receive non-discriminatory treatment in India.

U.S.-India Bilateral Trade Agreement (BTA) Talks:

The 2025 BTA negotiations aim to address GATS MFN compliance. For example:

Any tariff reductions on services (e.g., U.S. cloud computing firms in India) must avoid violating MFN by ensuring equivalent benefits for all WTO members

TRIPS:

The Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) is an international agreement administered by the World Trade Organization (WTO). It sets

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minimum standards for the **protection of intellectual property (IP) rights** in all WTO member countries.

TRIPS covers **four main areas of IP**:

- **Copyright and related rights**
- **Trademarks**
- **Geographical indications**
- **Patents**

TRIPS also includes provisions on enforcement of IP rights, dispute settlement, and technical cooperation.

The TRIPS Agreement was adopted in 1994 as part of the Uruguay Round of multilateral trade negotiations. It entered into force in 1995 and has been ratified by all WTO member countries.

TRIPS is a significant agreement that has helped to promote the protection of IP rights around the world. It has also helped to facilitate trade in goods and services that are protected by IP rights.

The TRIPS Agreement has been controversial since its adoption. Some critics argue that it is too demanding and that it places an undue burden on developing countries.

Others argue that it is necessary to protect IP rights in order to promote innovation and economic growth.

Key provisions of TRIPS:

- **Copyright and related rights**: TRIPS requires WTO member countries to provide **copyright protection for literary, dramatic, musical, and artistic works, as well as for sound recordings, films, and broadcasts**. TRIPS also requires WTO member countries to provide protection for computer programs and databases.
- **Trademarks**: TRIPS requires WTO member countries to provide **trademark protection for words, names, symbols, and other signs that are used to distinguish the goods or services of one party from those of others**. TRIPS also requires WTO member countries to provide protection for service marks, collective marks, and certification marks.
- **Geographical indications**: Geographical indications are **signs that identify a good as originating in a particular place**. TRIPS requires WTO member countries to provide protection for geographical indications for wines and spirits.

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- **Patents:** TRIPS requires WTO member countries to provide patent protection for inventions, whether **products or processes, in all fields of technology**. TRIPS also sets out the **minimum standards** for patentability, including **novelty, inventiveness, and industrial applicability**.
- **Enforcement of IP rights:** TRIPS requires WTO member countries to provide **effective enforcement of IP rights**. This includes measures such as civil and criminal procedures, as well as border measures.
- **Dispute settlement:** TRIPS provides a **mechanism for resolving disputes** between WTO member countries over IP matters. This mechanism is similar to the dispute settlement mechanism that is used to resolve disputes over trade in goods.

TRIPS and (India's) Patent Act 1970

Trade Related Aspects of Intellectual Property Rights (TRIPS) came into effect from January 1st 1995 (with the establishment of WTO) and the deadline for complying with TRIPS obligations for India (a developing country) was January 1st 2005.

Accordingly, **The Patents Act, 1970 (of India)** was **amended multiple times** to make it **fully TRIPS compliant by 2005**.

- **Process-Only Patents:** The **1970 Act permitted only process patents** (methods of manufacturing) for drugs, **not product patents (the drug itself)**. This **enabled Indian companies to reverse-engineer drugs** using alternative processes, fostering a robust generic drug industry.
- **Compulsory Licensing:** Original provisions allowed **compulsory licenses** (Compulsory licensing lets the government allow someone else to produce a patented product **without the patent owner's permission**, under specific conditions). **After 3 years** of a patent being granted, **anyone could request a license to make the product if:**
 - **Inadequate Supply:** The product **wasn't sufficiently available** to meet public needs.
 - **High Prices:** The product **was too expensive** for most people.
 - **Not Made in India:** The **patent holder was not manufacturing** the product locally (e.g., only importing it).

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TRADE FACILITATION AGREEMENT (TFA):

This agreement aims to simplify customs rules across all international borders for faster movement of goods and services. The Agreement contains provisions for faster and more efficient customs procedures through effective cooperation between customs and other appropriate authorities on trade facilitation and customs compliance issues.

Under the Trade Facilitation Agreement, each member shall:

- **publish its laws, rules and regulations related to import and export** procedures, rates of taxes and duties, penalties in easily accessible manner.
- **make available on internet the forms and documents required** for import and export and contact information on enquiry points.
- **adopt procedures allowing the option of electronic payment** for duties, taxes, fees and charges collected by customs incurred upon import and export.
- **provide for release of perishable goods** within shortest possible time.

Note: Government of India ratified the TFA in April 2016 and it came into effect in February 2017 after two-third of the member countries ratified it.

A **Free Trade Agreement (FTA)** is a preferential arrangement in which members reduce tariffs on trade among themselves, while maintaining their own tariff for trade with non-members. Around the world, FTAs have been proliferating, especially since the establishment of the WTO in 1995. But, until now India has mainly focused on partnering with other Asian countries, and more in goods than in services. In addition to its long standing commitment to multilateralism under WTO agreements and in line with global trends, India has made use of FTAs as a key component of its trade and foreign policy.

DOHA DEVELOPMENT AGENDA:

The **Doha Development Agenda (DDA)** is a comprehensive agreement that aims to expand and improve the rules governing international trade. It was launched in 2001 at the **Fourth Ministerial Conference** of the **World Trade Organization (WTO)** in Doha, Qatar.

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The **DDA** covers a wide range of issues, including **agriculture, services, intellectual property, and trade facilitation**. It also includes a **number of provisions aimed at helping developing countries participate more fully in the global economy**.

The **DDA** has been the subject of intense negotiations since its launch. Major subjects of negotiations were:

- **Agriculture** - More market access, eliminating export subsidies, reducing distorting domestic support, sorting out a range of developing country issues, and dealing with non-trade concerns such as food security and rural development.
- **Non-agricultural market access (NAMA)** - To reduce or as appropriate eliminate tariffs, including the reduction or elimination of high tariffs, tariff peaks and tariff escalation (higher tariffs protecting processing, lower tariffs on raw materials) as well as non-tariff barriers, in particular on products of export interest to developing countries.

Aspect	Tariff Peak	Tariff Escalation
Focus	• High tariffs on specific products	• Gradual tariff hikes based on processing stage
Purpose	• Protect sensitive domestic industries	• Discourage value-added exports from developing countries
Example	• 50% tariff on imported cheese (peak)	• 0% on raw cotton → 10% on yarn → 20% on textiles (escalation)

- **Services** - To improve market access and to strengthen the rules. Each government has the **right to decide which sectors it wants to open to foreign companies and to what extent**, including any restrictions on foreign ownership.

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- **Dispute settlement** - To improve and clarify the Dispute Settlement Understanding, the WTO agreement dealing with legal disputes.

The **Doha Ministerial Declaration of November 2001** committed Members to comprehensive negotiations aimed at:

- **Substantial improvements in market access;**
- Reductions of, with a view to phasing out, **all forms of export subsidies;** and
- **Substantial reductions in trade-distorting** domestic support.
- **Special and differential treatment (SDT)** for developing Members is also intended to be an integral part of the modalities.

Special and Differential Treatment (SDT)

The WTO Agreements contain **special provisions** which give developing countries **special rights** and **which give developed countries the possibility to treat developing countries more favorably than other WTO Members**. These special provisions aim to increase trading opportunities for developing countries.

These provisions are referred to as “special and differential treatment” (S&D) provisions.

The special provisions include:

- **Longer time periods for implementing Agreements and commitments,**
- **Measures to increase trading opportunities for developing countries,**
- **Provisions requiring all WTO members to safeguard the trade interests of developing countries,**
- **Support to help developing countries build the capacity to carry out WTO work,** handle disputes, and implement technical standards, and
- **Provisions related to least-developed country (LDC) Members.**

WTO: INDIA’S HISTORICAL ISSUES:

India has had several major issues and concerns with **respect to the World Trade Organization (WTO)**. These issues cover a wide range of areas, including agriculture, intellectual property rights, services, and dispute settlement. Here are some of the key issues India has raised:

- **Agricultural Subsidies:** India **has consistently advocated for addressing the issue of agricultural subsidies provided by developed countries,** which can distort global agricultural markets and affect the livelihoods of farmers in developing countries. **India has called for the reduction and elimination** of these subsidies to create a level playing field for farmers

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worldwide.

- **Public Stockholding for Food Security:** India has **raised concerns** regarding the **limitations on its ability to implement public stockholding programs for food security purposes. These programs involve procuring and distributing food grains to ensure food availability and affordable prices for vulnerable populations. India argues that current WTO rules should be revised to accommodate these programs without facing trade barriers.**
- **If procurement is done at administered prices** (prices set by the government above market rates), **it is considered a subsidy and counted toward a country's ceiling on trade-distorting support.**
- This constraint has **led to disputes, as developing countries like India argue that these limits restrict their ability to ensure food security.**

- **Special Safeguard Mechanism (SSM):** India has **advocated for the implementation of a special safeguard mechanism** that would allow developing countries to **temporarily raise tariffs on agricultural products to protect domestic farmers from import surges or price depressions (Price depressions refer to sustained declines in international commodity prices, often caused by trade-distorting practices such as export subsidies, domestic overproduction, and dumping.)**. India seeks stronger provisions for SSM to safeguard its agricultural sector.

- **Services Trade:** India has **expressed concerns over market access barriers faced by its service providers in developed countries. It seeks greater liberalization and improved access to foreign markets** for its service sectors, including information technology, healthcare, and education.

- **Intellectual Property Rights (IPR):** India **has been critical of the TRIPS** (Trade-Related Aspects of Intellectual Property Rights) Agreement's

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implementation and its potential impact on **access to affordable medicines**. India has sought to ensure that the TRIPS Agreement is interpreted and implemented in a manner that allows it to produce and distribute affordable generic medicines to address public health needs.

- **Dispute Settlement Mechanism:** India has raised concerns about the functioning and effectiveness of the WTO's dispute settlement mechanism. It has called for reforms to make the mechanism more transparent, efficient, and responsive to the needs of developing countries.
- **Development Agenda:** India has been a strong proponent of the WTO's Doha Development Agenda (DDA). It has stressed the importance of addressing the development needs and concerns of developing countries through the DDA negotiations. India has called for the completion of the DDA and ensuring that the outcomes are balanced and supportive of developing countries' interests.
- These issues highlight India's focus on addressing the imbalances in the global trading system, protecting the interests of its farmers and vulnerable populations, and promoting inclusive and sustainable development. India seeks reforms within the WTO to ensure a fair and equitable international trading environment that addresses the specific challenges faced by developing countries.

Fisheries subsidies

In June 2022, at MC12, Members concluded an Agreement on Fisheries Subsidies (AFS). The AFS prohibits the granting or maintaining of subsidies to entities involved in:

(1) illegal, unreported and unregulated (IUU) fishing or

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(2) the fishing of overfished stocks (meaning their numbers are critically low and unable to replenish naturally).

It is the first WTO agreement with a mostly sustainability-related objective (preserving the world's fisheries stocks).

Note: India has not ratified it yet.

EU'S CARBON BORDER ADJUSTMENT MECHANISM (CBAM) AND INDIA:

The Carbon Border Adjustment Mechanism (CBAM) is a 20% to 35% carbon tariff implemented by the European Union (EU) on carbon-intensive products like cement and certain types of electricity that are imported.

The European Union (EU) has approved the world's first plan to introduce a levy on imports of high-carbon goods starting in 2026. The levy will specifically target imports of steel, cement, aluminum, fertilizers, electricity, and hydrogen. The EU aims to achieve net-zero greenhouse gas emissions by 2050, which is earlier than India's target of 2070.

India has filed a complaint with the World Trade Organization (WTO) regarding the European Union's (EU) proposal to impose tariffs ranging from 20% to 35% on imports of high-carbon goods such as steel, iron ore, and cement from India.

India argues that in the name of environment protection, EU is introducing a trade barrier that would hit not only Indian exports but also of many other developing countries.

REGIONAL COMPREHENSIVE ECONOMIC PARTNERSHIP (RCEP) AND INDIA

Regional Comprehensive Economic Partnership or RCEP is a **free-trade agreement** between **15 countries**, including ten member states of the Association of South-East Asian Nations (ASEAN) and its **five Free Trade Agreement (FTA) partners**, namely **CHINA, JAPAN, NEW ZEALAND, AUSTRALIA** and the Republic of **KOREA**.

The **agreement aims to facilitate regional trade** by **lowering tariffs, taxes on imports and exports, and other trade barriers**. It covers a wide range of sectors, including intellectual property, e-commerce, investment, and others. It is considered one of the **largest free trade agreements** in the world, covering:

Nearly **a third of the global economy**, a **population of 2.3 billion**, which accounts for **roughly 30%** of the world's population. **However, it was initially negotiated between 16 countries.**

India was the 16th country with which the negotiations could not materialize.

On **4th November 2019**, India **decided to opt out of the RCEP agreement** because of unresolved **'significant outstanding issues'**.

Despite this, the RCEP trading bloc has left the possibility for India to restart negotiations.



Fig 1 – RCEP Member States

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WHY DID INDIA OPT OUT OF RCEP?

At the **3rd RCEP Summit in Bangkok**, Prime Minister **Narendra Modi** said,

"The present form of the RCEP agreement does not fully reflect the basic spirit and the agreed guiding principles of RCEP. It also does not address satisfactorily India's outstanding issues and concerns. In such a situation, it is not possible for India to join the RCEP agreement."

When I measure the RCEP agreement with respect to the interests of all Indians, I do not get a positive answer. Therefore, neither the Talisman of Gandhiji nor my own conscience permits me to join RCEP."

Issues forcing India to opt out of RCEP include:

Cheap Imports flooding INDIAN markets:

- **Increased concerns related to cheap imports from China** flooding the Indian markets. For e.g. **Cheap dairy products from Australia will hurt domestic firms.**
- **No hope for India's demand for an 'auto-trigger mechanism'** (Under this mechanism, if the volume of imports exceeds a pre-determined threshold, safeguard duties or tariffs are automatically imposed on the imported goods).

Non-tariff barriers:

- **No credible assurances on easing India's concerns about non-tariff barriers.**
- Countries like **CHINA have historically prevented India** from growing its exports by imposing non-tariff barriers

Concerns over 'Rules of Origin':

- **Rules of Origin is a method to determine the source nation of the product.**

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- **Existing provisions in the agreement do not stop the member states** to re-route their products via another member state.
- India is specifically concerned about the possible circumvention of this rule.

Restricted Market Access:

- To **allow access to its market**, India had asked for increased movement of labour and services
- Prime Minister said, *'It needs to be recognised that opening the vast Indian market must be matched by openings in some areas where our businesses can also benefit'*. However, its demand has been met with no credible response.

Base Year used for reducing tariffs:

- **To protect the domestic industry**, India sought 2014 as a base year instead of 2013. But it could not achieve its demand.
- Since it had raised import duties on several products between 2014 and 2019, using a base year before 2014 would mean a drastic reduction in import duties.

Most Favoured Nations (MFN) Obligations:

- **India wanted to remove the MFN obligations from the agreement.**
- India did not want to give MFN benefits to the countries with which it has **border disputes**.
- It is believed that the **agreement will force India to provide benefits** in sensitive sectors **like Defence to all RCEP members**.

Unsustainable Trade Deficit:

- There **exists a huge trade deficit between India and 11 members of RCEP**.
- India already has Free Trade Agreements with several RCEP member states.
- However, **the utilisation rate of FTAs or 'the growth rate of imports from and exports to' has been moderate**.
- India **fears that joining RCEP may exacerbate its already unsustainable trade deficit**.

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India's decision to exit the RCEP negotiations left it with less scope to tap the vast market that the agreement represents.

However, **its decision is based on careful understanding of its National Interest, including the interests of its domestic industry and its people.**

ASIAN DEVELOPMENT BANK

The **Asian Development Bank** was **conceived in the early 1960s** as a financial institution that would be **Asian in character and foster economic growth and cooperation** in one of the poorest regions in the world.

HISTORY

A resolution passed at the **first Ministerial Conference on Asian Economic Cooperation** held by the **United Nations Economic Commission for Asia and the Far East in 1963** set that **vision on the way to becoming reality. The Philippines capital of Manila was chosen to host the new institution**, which opened on 19 December 1966, with **31 founding members** that came together to serve a predominantly agricultural region. **Takeshi Watanabe was ADB's first President.**



Masato Kanda

Masato Kanda is the President of the Asian Development Bank (ADB) and the Chairperson of ADB's Board of Directors. He was elected President by ADB's Board of Governors and assumed office on 24 February 2025.

Asian Development Bank (ADB) is headquartered in the Ortigas Center located in Mandaluyong, Metro Manila, Philippines.

The bank admits the members of the United Nations Economic and Social Commission for Asia and the Pacific (UNESCAP, formerly the Economic Commission for Asia and the Far East or ECAFE) and non-regional developed countries. From 31 members at its establishment, **ADB now has 69 members.**

Israel has joined the Asian Development Bank (ADB) as its 69th member and 20th nonregional member, effective today, after completing all membership requirements.

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Organization



Board of Governors: The **Agreement Establishing the Asian Development Bank, known as the ADB Charter, vests all the powers of the institution in the Board of Governors, which in turn delegates** some of these powers to the Board of Directors. The **Board of Governors meets formally once a year during ADB's Annual Meeting.**

Board of Directors: The Board of Directors is **responsible for the direction of the general operations of the bank.** The Board:

- 1) takes decisions concerning policies of the bank, and loans, guarantees, investments and technical assistance by the bank,
 - 2) approves borrowings by the bank,
 - 3) clears the financial accounts of the bank for approval by the Board of Governors, and
 - 4) approve the budgets of the bank. (Charter. Article 31)
- The **12 Directors of the ADB Board of Directors** are elected by the Board of Governors.
 - **Eight of the 12 are elected from within Asia and the Pacific and four others are elected from outside the region.**
 - The Board of Directors performs its duties full time at the ADB headquarters in Manila, Philippines.
 - **The President of ADB chairs the Board of Directors.**

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Subscribed capital and Voting Power: As on date, **Japan and United States hold the largest proportion of shares at 15.571%. China holds 6.429%, India holds 6.317.**

- **ADB is an official United Nations Observer.**

India holds the position of Executive Director on the Board of Directors of the Bank—its constituency comprises **India, Bangladesh, Bhutan, Lao PDR and Tajikistan.**

Satya Srinivas is the current Executive Director of India at the Asian Development Bank (ADB), appointed to the position in September 2025

REPORTS:

Asian Development Outlook (ADO): The Asian Development Outlook is **an annual** publication produced by the Asian Development Bank (ADB). It offers **economic analysis** and forecasts, as well as an examination of social development issues, for most countries in Asia.

The Asian Development Review: is a **professional journal** that **presents expertise and analysis on economics, social development, poverty** and other issues in Asia and the Pacific.

Asia Bond Monitor: This **publication reviews recent developments in East Asian local currency bond markets** along with the outlook, risks, and policy options. It covers the 10 members of the Association of Southeast Asian Nations and the People's Republic of China; Hong Kong, China; and the Republic of Korea.

SOUTH ASIA SUB-REGIONAL ECONOMIC COOPERATION (SASEC):

- **The South Asia Sub-regional Economic Cooperation (SASEC)** program set up in 2001 brings together **Bangladesh, Bhutan, India, Maldives, Myanmar, Nepal, and Sri Lanka** in a **project-based partnership that aims to promote regional**

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prosperity, improve economic opportunities, and build a better quality of life for the people of the subregion.

- SASEC countries share a common vision of **boosting intraregional trade** and cooperation in South Asia, while also developing connectivity and trade with Southeast Asia through Myanmar, to the People's Republic of China, and the global market.
- **ADB serves as the SASEC Secretariat.**

CENTRAL ASIA REGIONAL ECONOMIC COOPERATION, OR CAREC: Program is a **partnership of 11 countries (Afghanistan, Azerbaijan, People's Republic of China, Georgia, Kazakhstan, Kyrgyz Republic, Mongolia, Pakistan, Tajikistan, Turkmenistan, and Uzbekistan)**, supported by 6 multilateral institutions, working together to promote development through cooperation, leading to accelerated growth and poverty reduction.

The program is **a proactive facilitator of practical, results-based regional projects, and policy initiatives critical to sustainable economic growth and shared prosperity** in the region. It is guided by the overarching vision of **“Good Neighbors, Good Partners, and Good Prospects.”**

CAREC 2030 provides the **new long-term strategic framework** for the program and prioritizes **five operational clusters**, encompassing both traditional and new areas of cooperation:

- (i) Economic and Financial Stability;**
- (ii) Trade, Tourism, and Economic Corridors;**
- (iii) Infrastructure and Connectivity;**
- (iv) Agriculture and Water; and**
- (v) Human Development.**

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Other Subregional Programs

ADB serves as **secretariat** or advisor for the following subregional programs.

BIMP-EAGA BRUNEI DARUSSALAM-INDONESIA-MALAYSIA-PHILIPPINES EAST ASEAN GROWTH AREA

Brunei Darussalam-Indonesia-
Malaysia-Philippines East
ASEAN Growth Area (BIMP-
EAGA)

The BIMP-EAGA initiative was launched in 1994 as a cooperation initiative to close the development gap across and within the EAGA member countries.

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Central Asia Regional
Economic Cooperation
(CAREC) Program

The CAREC Program is a partnership of 11 countries and development partners working together to promote development through cooperation, leading to accelerated economic growth and poverty reduction.

[READ MORE](#)



Greater Mekong Subregion
(GMS)

The GMS is a natural economic area bound together by the Mekong River, covering 2.6 million square kilometers and a combined population of around 326 million.

[READ MORE](#)



Indonesia - Malaysia - Thailand
Growth Triangle

Indonesia-Malaysia-Thailand
Growth Triangle (IMT-GT)

Indonesia, Malaysia, and Thailand are neighbors sharing close historical, cultural, and linguistic ties.

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT (OECD): The Organisation for European Economic Cooperation (OEEC) was **established in 1948** to **run the US-financed Marshall Plan for reconstruction of a continent ravaged by war**. By making individual governments **recognize the interdependence of their economies**, it paved the way for a new era of cooperation that was to change the face of Europe.

Encouraged by its success and the prospect of carrying its work forward on a global stage, Canada and the US joined OEEC members in signing the new OECD Convention on 14 December 1960. The **Organization for Economic Co-operation and Development (OECD) was officially born on 30 September 1961**, when the Convention entered into force.

Other countries joined in, starting with **Japan in 1964**. Today, our **38 Member countries** span the globe, from North and South America to Europe and Asia-Pacific. They include many of the world's most advanced countries but also emerging countries like Mexico, Chile and Turkey.

The OECD created agencies such as the OECD Development Centre (1961), International Energy Agency (IEA, 1974), and Financial Action Task Force on Money Laundering.

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Headquarter of OECD is at **Paris, France.**

Mathias Cormann heads the OECD Secretariat and is assisted by one or more Deputy Secretaries-General.

INDIA is NOT the member of OECD

Reports:

OECD Economic Outlook: is a **twice-yearly analysis** (available for online viewing, download, and in print) published by the Organisation for Economic Co-operation and Development (OECD) with **economic analysis and forecasts for future economic performance of OECD countries**. The main version is in English, and it is also published in French and German. The OECD also publishes **Monthly Economic Indicators** (updated every month) to complement the twice-yearly Economic Outlook.

OECD Environmental Outlook to 2030: which shows that **tackling the key environmental problems we face today—including climate change**, biodiversity loss, water scarcity, and the health impacts of pollution—is both achievable and affordable.

BRICS BANK OR NEW DEVELOPMENT BANK:

- **HQ: SHANGHAI, CHINA.**
- The **New Development Bank (NDB)** is a **multilateral development bank** established by **Brazil, Russia, India, China and South Africa (BRICS)** with the purpose of **mobilizing resources for infrastructure and sustainable development projects in emerging markets and developing countries (EMDCs)**
- During the **sixth BRICS Summit in Fortaleza (2014)**, the leaders signed the Agreement establishing the New Development Bank (NDB). In the **Fortaleza Declaration**, the leaders stressed that the **NDB will strengthen cooperation among BRICS** and will supplement the efforts of multilateral and regional financial

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institutions for global development, thus contributing to collective commitments for achieving the goal of strong, sustainable and balanced growth.

- More than the establishment of the NDB, the Fortaleza Declaration is remarkable for adoption **of one-nation one-vote prescription for the proposed bank.**

- The **inaugural meeting of the Board of Governors of the NDB was chaired by Russia** and held on the eve of the **Ufa Summit on 7 July 2015, when the Bank formally came into existence as a legal entity.**

- The Bank have an **initial authorized capital of US\$ 100 billion.**
- The initial **subscribed capital is US\$ 50 billion**, equally shared among founding members.
- The **headquarters of the Bank** is located in **Shanghai.**
- **Mrs. Dilma Vana Rousseff from Brazil is current president of NDB.**
- **The New Development Bank Africa Regional Center is established in Sandton, Johannesburg, South Africa concurrently with the headquarters.” (Fortaleza Declaration).**

A **Contingent Reserve Arrangement (CRA) of \$100 billion** is also created to provide additional liquidity protection to member-nations during **balance of payments problems.**

The CRA is being **funded 41 per cent by China, 18 per cent each from Brazil, India, and Russia, and 5 per cent from South Africa.**

Countries by Shareholding at the New Development Bank

COUNTRY	NUMBER OF SHARES	SHARE HOLDING (% OF TOTAL)	VOTING RIGHTS (% OF TOTAL)
BRAZIL	100,000	18.98%	18.98%

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RUSSIA	100,000	18.98%	18.98%
INDIA	100,000	18.98%	18.98%
CHINA	100,000	18.98%	18.98%
SOUTH AFRICA	100,000	18.98%	18.98%
BANGLADESH	9420	1.79%	1.79%
UAE	5560	1.06%	1.06%
EGYPT	11960	2.27%	2.27%

Important points:

The New Development Bank — more popularly known as the BRICS Bank — proposes to **be different from other multilateral funding institutions in its focus, speed and risk appetite, and earmark as much as 60 percent of its lending for renewable energy.**

The finance minister is India's Governor on the Board of Governors of the New Development Bank and Secretary (Economic Affairs) is the Alternate Governor.

In July 2016, the NDB successfully issued the first onshore green bond in China. The bank will allow new members to join but the **BRICS capital share cannot fall below 55%** (ensures **BRICS countries collectively retain at least 55% of the total voting power**).

Bangladesh (joined in 2021), UAE (joined in 2021), Indonesia , Egypt (joined in 2023), AND URUGUAY are the new members.

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ASIAN INFRASTRUCTURE INVESTMENT BANK: Asian Infrastructure Investment Bank (AIIB), a **multilateral development bank** with a mission to **improve social and economic outcomes** in Asia and beyond.



Headquartered at **Beijing**.

AIIB began operations in **2016 with 57 founding Members** (37 regional and 20 nonregional). Presently, it has 110 member states.

The AIIB is aimed at providing **finance to infrastructure projects in the Asia region**, as a multilateral institution. **It is planned to operate broadly in the same manner as existing multilateral development banks (MDBs) such as the World Bank and the Asian Development Bank (ADB).**

While much of the debate is centred on whether the AIIB will complement or compete with existing organisations, it is intended to be more a **commercial bank—with nations as shareholders, than a purely development aid institution**. The AIIB started with an authorised capital base of **US\$ 1 billion to be enhanced to US \$ 100 billion**.

The bank started operation in 2016 after the agreement entered into force on 25 December 2015, after ratifications were received from 10 member states holding a total number of 50% of the initial subscriptions of the Authorized Capital Stock. **Major economies that are NOT MEMBERS include Japan and the United States.**

The **United Nations** has addressed the launch of AIIB as having potential for "**scaling up financing for sustainable development**" for the **concern of global economic governance**. The capital of the bank is \$100 billion, equivalent to 2/3 of the capital of the Asian Development Bank and about half that of the World Bank.

The Board of Governors consists of **one Governor and one Alternate Governor** appointed by each member country. Governors and Alternate Governors serve at the pleasure of the appointing member.

The **finance minister is India's Governor on the Board of Governors of the Asian Infrastructure Investment Bank (AIIB) and Secretary (Economic Affairs) is the Alternate Governor.**

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Asian Infrastructure Investment Bank (AIIB)'s headquarter is located at Beijing, China.

Zou Jiayi is Asian Infrastructure Investment Bank (AIIB)'s president.

Based on the lending capital ratios of the World Bank and European Development Bank —the AIIB could extend loans for infrastructure spending at around 100 per cent to 175 per cent of its subscribed capital. This would mean having outstanding loans of up to \$US175 billion. **With Public Private Partnerships and increased subscriptions, considerably larger amounts could leveraged for projects in the future.**

The AIIB also supports China's strategic interests in its hugely ambitious 'Silk Road Economic Belt' policy.

The Silk Road Economic Belt and the 21st-century Maritime Silk Road, better known as the One Belt and One Road Initiative (OBOR), The Belt and Road (B&R) and The Belt and Road Initiative (BRI) is a **development strategy proposed by China's paramount leader Xi Jinping that focuses on connectivity and cooperation between Eurasian countries, primarily the People's Republic of China (PRC), the land-based Silk Road Economic Belt (SREB) and the oceangoing Maritime Silk Road(MSR).**

India is a founder member of AIIB.

BAY OF BENGAL INITIATIVE FOR MULTI-SECTORAL TECHNICAL AND ECONOMIC COOPERATION (BIMSTEC):

The Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC) is a **regional organization comprising seven Member States** lying in the littoral and adjacent areas of the Bay of Bengal constituting a contiguous regional unity.

This sub-regional organization came into being on **6 June 1997 through the Bangkok Declaration.**

It constitutes seven Member States: **five deriving from South Asia**, including Bangladesh, Bhutan, India, Nepal, Sri Lanka, and **two from Southeast Asia**, including Myanmar and Thailand.

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With the admission of Nepal and Bhutan at the 6th Ministerial Meeting (February 2004, Thailand), the name of the grouping was changed to 'Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation' (BIMSTEC).

The regional group constitutes a **bridge between South and South East Asia** and represents a reinforcement of relations among these countries. BIMSTEC has also established a platform for intra-regional cooperation between SAARC and ASEAN members.

The BIMSTEC region is home to around 1.5 billion people which constitute around 22% of the global population with a combined gross domestic product (GDP) of 2.7 trillion economy

Bay of Bengal: The objective of building such an alliance was to harness shared and accelerated growth through mutual cooperation in different areas of common interests by mitigating the onslaught of globalization and by utilizing regional resources and geographical advantages.

BIMSTEC is a sector-driven cooperative organization. Starting with six sectors—including trade, technology, energy, transport, tourism and fisheries—for sectoral cooperation in the late 1997, it **expanded to embrace nine more sectors**—including **agriculture, public health, poverty alleviation, counter-terrorism, environment, culture, people to people contact and climate change**—in 2008.

Objectives of BIMSTEC: As stated in the Declaration of BIMSTEC, its objectives are:

- To create an enabling environment for **rapid economic development** through identification and implementation of specific cooperation projects in the sectors of trade, investment and industry, technology, human resource development, tourism, agriculture, energy, and infrastructure and transportation.
- To **accelerate the economic growth and social progress in the sub-region** through joint endeavors in a spirit of equality and partnership.
- To **promote active collaboration and mutual assistance on matters of common interest in the economic, social, technical and scientific fields.**
- **To provide assistance to each other in the form of training and research facilities** in the educational, professional and technical spheres.
- To **cooperate more effectively in joint efforts that are supportive of and complementary to national development plans** of Member States which result in tangible benefits to the people in raising their living standards, including

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generating employment and improving transportation and communication infrastructure.

- To **maintain close and beneficial cooperation with existing international and regional organizations** with similar aims and purposes.
- To **cooperate in projects that can be dealt with most productively on a sub-regional basis** and make best use of available synergies among BIMSTEC member countries.

BIMSTEC's Principles: The founding principles of BIMSTEC are as follows:

Cooperation within BIMSTEC will be based on **respect for the principles of:**

Sovereign equality, territorial integrity, political independence, non-interference in internal affairs, peaceful co-existence and mutual benefit.

Cooperation within BIMSTEC will constitute an addition to and not be a substitute for bilateral, regional or multilateral cooperation involving the Member States.

BIMSTEC SECRETARIAT: BIMSTEC head office is located at **Dhaka, Bangladesh**. **Secretary General of BIMSTEC** is **Ambassador Indra Mani Pandey from India**.

The **Chairmanship of BIMSTEC** rotates among Member States and current chairmanship is with **Bangladesh** for the **next two years**.

BIMSTEC Summit meeting held once every **2 years**.

THE SOUTH ASIAN ASSOCIATION FOR REGIONAL COOPERATION (SAARC):

The South Asian Association for Regional Cooperation (SAARC) was established with the signing of the SAARC Charter in Dhaka on **8 December 1985**.

SAARC comprises of **eight Member States: Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka**.

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The **Secretariat of the Association was set up in Kathmandu** on 17 January 1987.



The **objectives of the Association as outlined in the SAARC Charter** are:

to promote the welfare of the peoples of South Asia and to improve their quality of life;

to accelerate economic growth, social progress and cultural development in the region and to provide all individuals the opportunity to live in dignity and to realize their full potentials;

- **to promote and strengthen collective self-reliance among the countries of South Asia;**
- **to contribute to mutual trust, understanding and appreciation of one another's problems;**
- **to promote active collaboration and mutual assistance in the economic, social, cultural, technical and scientific fields;**
- **to strengthen cooperation with other developing countries;**
- **to strengthen cooperation among themselves in international forums on matters of common interests;**
- **and to cooperate with international and regional organizations with similar aims and purposes.**

Regional Centres:

Since 1989, a number of Regional Centres with specific mandates have been established to strengthen and promote regional cooperation. **The Regional Centres implement programme activities and are expected to evolve into Centres of excellence in their respective areas. These Centres are managed by Governing Boards** comprising **representatives from all the Member States**, SAARC Secretary-General and the Ministry of Foreign/External Affairs of the Host Government. **The Director of the Centre acts as Member Secretary to the Governing Board, which reports to the Programming Committee.**

The Chairmanship of SAARC rotates among Member States and current chairmanship is with Nepal

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SAARC's headquarter is located at Kathmandu, Nepal.

The Secretary General of the South Asian Association for Regional Cooperation (SAARC) is Ambassador Mr. Md. Golam Sarwar from Bangladesh.

MEKONG-GANGA COOPERATION (MGC):

The Mekong-Ganga Cooperation (MGC) is an initiative by **six countries – India and five ASEAN countries, namely, Cambodia, Lao PDR, Myanmar, Thailand and Vietnam for cooperation in tourism, culture, education, as well as transport and communications.**

It was launched in 2000 at Vientiane, Lao PDR.

Both the Ganga and the Mekong are civilizational rivers, and the MGC initiative aims to facilitate closer contacts among the people inhabiting these two major river basins. The MGC is also indicative of the cultural and commercial linkages among the member countries of the MGC down the centuries.

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ASIAN CLEARING UNION (ACU):

The ACU was established at the initiative of the **United Nations Economic and Social Commission for Asia and the Pacific (ESCAP)**.

The Decision to establish the ACU was taken at the Fourth Ministerial Conference on Asian Economic Co-operation held in December 1970 at Kabul.

The Draft Agreement Establishing the ACU was finalized at a **meeting of senior officials of the Governments and central banks held at ESCAP**, Bangkok, in December 1974 after five central banks (India, Iran, Nepal, Pakistan, and Sri Lanka) signed the Agreement. **Bangladesh and Myanmar were the sixth and seventh signatories to this Agreement.**

Bhutan and Maldives signed the Agreement in **1999 and 2009 respectively** and the **number of the ACU participants reached nine.**

The **Asian Clearing Union started its operations in November 1975 with its headquarters in Tehran.**

Each participant appoints one director and one alternate director at ACU.

The **Central Banks and the Monetary Authorities of Bangladesh, Bhutan, India, Iran, Maldives, Myanmar, Nepal, Pakistan and Sri Lanka are currently the members of the ACU.**

Asian Clearing Union (ACU) is a payment arrangement whereby the participants settle payments for intra-regional transactions among the participating central banks on a net multilateral basis. The **ACU enables member countries to settle international transactions on a multilateral basis**, reducing the **need for foreign exchange reserves** and **promoting economic cooperation among member states.**

The objectives of the ACU are:

- (1) To provide a **facility to settle payments, on a multilateral basis**, for **current international transactions** among the territories of participants;
- (2) To promote the **use of participants' currencies in current transactions** between **their respective territories** and thereby effect economies in the use of the participants' exchange reserves;
- (3) To promote **monetary co-operation among the participants and closer relations among the banking systems** in their territories and thereby contribute to the

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expansion of trade and **economic activity** among the countries of the ESCAP region; and,

(4) To provide for **currency SWAP arrangement** among the participants so as to make Asian Monetary Units (AMUs) available to them temporarily.

The **accounts of the Asian Clearing Union are held in "Asian Monetary Units" (viz. ACU dollar, ACU euro, and ACU yen)** which may be referred to in the abbreviated form as "AMUs". The AMUs are denominated as ACU dollar, ACU euro, and ACU yen which are equivalent in value to one US Dollar, one Euro, and one Japanese Yen, respectively.

The Participants of the Asian Clearing Union include:

- Bangladesh Bank,
- Royal Monetary Authority of Bhutan,
- Reserve Bank of India,
- Central Bank of the Islamic Republic of Iran,
- Maldives Monetary Authority,
- Central Bank of Myanmar,
- Nepal Rastra Bank,
- State Bank of Pakistan, and
- Central Bank of Sri Lanka

As per RBI, the following payments are not eligible to be settled through ACU:-

- **Payments between Nepal and India and Bhutan and India**
- **Payments that are not on account of export / import transactions between ACU members countries.**
- **All eligible current account transactions including trade transactions with Iran should be settled in any permitted currency outside the ACU mechanism.**

However, **trade transactions with Myanmar may be settled in any freely convertible currency, in addition to the ACU mechanism.**

THE SOCIETY FOR WORLDWIDE INTERBANK FINANCIAL TELECOMMUNICATION (SWIFT):

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It **provides a network that enables financial institutions** worldwide to **send and receive information** about **financial transactions in a secure, standardized and reliable environment**.

SWIFT **also sells software and services to financial institutions**, much of it for use on the **SWIFTNet** Network, and ISO 9362. **Business Identifier Codes (BICs, previously Bank Identifier Codes)** are popularly known as "SWIFT codes".

SWIFT headquarters, designed by Ricardo Bofill Taller de Arquitectura are in La Hulpe, Belgium, near **Brussels**.

The chairman of SWIFT is **Graeme Munro**, and its CEO is **Javier Pérez-Tasso**. **SWIFT hosts an annual conference every year, called Sibos**, specifically aimed at the financial services industry.

A **SWIFT code is an international bank code that** identifies particular banks worldwide. It's **also known as a Bank Identifier Code (BIC)**. **Banks use SWIFT codes to send money to overseas banks**.

A SWIFT code consists of 8 or 11 characters.

CommBank's SWIFT code is CTBAAU2S. The code is made up of letters and numbers as follows:

First 4 digits bank name, next two digits country and last two digits represent location. If 11-digit swift code is there then last 3 digits will represent branch location.

FINANCIAL STABILITY BOARD: The **Financial Stability Board (FSB)** is an **international body that monitors and makes recommendations about the global financial system**.

- **The FSB was established in April 2009 as the successor to the Financial Stability Forum (FSF)**. The FSB's predecessor institution the FSF was founded in 1999 by the G7 Finance Ministers and Central Bank Governors following recommendations by Hans Tietmeyer, President of the Deutsche Bundesbank. The FSF was first convened in April 1999 in Washington. As announced in the G20 Leaders Summit of April 2009, the expanded FSF was re-established as the

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Financial Stability Board (FSB) with a broadened mandate to promote financial stability.

Andrew Bailey is chairman of FSB.

- The **FSB promotes international financial stability**; it does so by **coordinating national financial authorities and international standard-setting bodies** as they work toward developing strong regulatory, supervisory and other financial sector policies. **It fosters a level playing field by encouraging coherent implementation of these policies across sectors and jurisdictions.**

The FSB's structure comprises the **Plenary as the sole decision-making body, a Steering Committee to take forward operational work in between Plenary meetings, and three Standing Committees, each with specific but complementary responsibilities towards the above process:**

- **The Standing Committee on Assessment of Vulnerabilities (SCAV)**, which is the FSB's main mechanism for identifying and assessing risks in the financial system.
- **The Standing Committee on Supervisory and Regulatory Cooperation (SRC)**, which is charged with undertaking further supervisory analysis or framing a regulatory or supervisory policy response to a material vulnerability identified by SCAV.
- **The Standing Committee on Standards Implementation (SCSI)**, which is responsible for monitoring the implementation of agreed FSB policy initiatives and international standards.